

STV Group plc - Financial Analysis Report

Date: September 5, 2025

Table of Contents

1. [Executive Summary](#)
 2. [Key Findings and Insights](#)
 3. [Relevance of Findings](#)
 4. [Conclusions](#)
 5. [Analyst's Signature](#)
-

Executive Summary

This report presents a detailed financial analysis of **STV Group plc**, highlighting its valuation, profitability, liquidity, leverage, efficiency, earnings quality, asset quality, cash flow, ownership structure, dividend policy, and auditor's opinion. The company exhibits a mixed financial profile with both promising strengths and notable risks.

Key Findings and Insights

- **Valuation Ratios**

- Price-to-Earnings (P/E) ratio is very low at **2.6x**, indicating potential undervaluation relative to earnings.
- Free Cash Flow Yield is strong at **25.7%**, supporting the undervaluation thesis.
- EV/Revenue ratio is low at **0.3x**, and Price to Free Cash Flow is **3.9x**, suggesting market discounts on sales and cash flow, possibly due to growth or risk concerns.

- **Profitability Metrics**

- Gross Margin stands at **45.6%**, reflecting solid core profitability.
- Net Margin is **5.7%**, indicating positive bottom-line results.
- Return on Capital Employed (ROCE) is strong at **17.4%**.
- Return on Equity (ROE) is deeply negative at **-167.4%**, caused by negative equity, which is a significant red flag.

- **Liquidity Position**

- Current Ratio is **1.5x**, indicating borderline adequate liquidity.
- Quick Ratio is **1.0x**, showing the company can meet short-term obligations without relying on inventory.

- **Leverage and Debt Metrics**

- Debt-to-Equity ratio is negative at **-5.2** due to negative equity but considered manageable.

- Interest Coverage ratio is weak at **1.5x**, signaling risk in servicing debt.
 - Net Debt to EBITDA ratio is moderate at **2.9x**.
 - **Efficiency Ratios**
 - Inventory Turnover is strong at **7.1x**.
 - Days Sales Outstanding (DSO) is low at **16 days**, indicating efficient receivables management.
 - **Earnings Quality**
 - Low accruals at **2.5%**, suggesting earnings are backed by cash flows.
 - EBITDA to Free Cash Flow conversion is high at **76%**.
 - No gap between adjusted and statutory earnings, indicating transparency.
 - **Asset Quality**
 - Goodwill represents **12%** of total assets, indicating limited goodwill risk.
 - Capital expenditure to depreciation ratio is **0.0x**, showing low reinvestment.
 - Tangible book value is negative at **-£33.2 million**, reflecting accumulated losses and financial risk.
 - **Cash Flow Metrics**
 - Positive free cash flow of **£7.3 million**.
 - Cash conversion ratio is **0.8x**, demonstrating effective cash generation from earnings.
 - **Ownership and Governance**
 - Ownership is concentrated with **Slater Investments holding 19.29%**.
 - Supported by institutional investors, providing stability and governance oversight.
 - **Dividend Policy**
 - Total dividend for 2024 is **11.3p**, supported by positive cash flow.
 - **Auditor's Report**
 - Confirms no material misstatements.
 - Affirms the going concern basis.
-

Relevance of Findings

- The company appears **potentially undervalued** by the market based on earnings and cash flow metrics, presenting a **value investment opportunity**.
- Negative equity and weak interest coverage raise **concerns about financial stability** and the ability to service debt.
- Strong operational profitability, cash flow generation, and earnings quality provide a **foundation for potential recovery or value realization**.
- The ownership structure, with significant institutional presence and a stable major shareholder, suggests **effective governance oversight** that could help mitigate financial risks.

- Auditor's confirmation of going concern and absence of material misstatements adds **confidence in the reported financials**.
 - Monitoring leverage, capital structure, and reinvestment levels will be **critical to assess long-term sustainability**.
-

Conclusions

STV Group presents a cautiously optimistic profile with strong operational and cash flow metrics indicating sustainable earnings and value potential.

However, the company carries financial risks related to its negative equity position, weak interest coverage, and negative tangible book value. These factors warrant close monitoring as they could impact financial stability.

The market's low valuation multiples on revenue and cash flow reflect these concerns. The ownership structure and auditor assurances provide some comfort, but vigilance is required.

Overall, STV Group appears undervalued but with financial risks that require careful ongoing assessment.

Analyst's Signature

Richard Bernstein

Chief Executive Officer, Insig AI Plc

Founder & Investment Manager, Crystal Amber Fund

Date: September 5, 2025, 13:37:18
